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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**3249**	**16397**	**19621**
Section 2	**870**	**4842**	**5707**
Section 3	**778**	**3941**	**4716**
Total	**4897**	**25180**	**30044**

Answer-to-Question-_1_

Legal Theory

PP does not have any clear legal theory to sue on. Their only theory would be *ultra vires* if the action was not permitted under the DGCL, charter or bylaws (*Pullman*). The DGCL explicitly permits incorporation if the board (1) adopts a resolution to convert, (2) adopts a plan of conversion and (3) a majority of the shares entitled to vote in favor do so (DGCL 266(a)). All seem to be satisfied. It is not clear if there was ever an explicit resolution to convert adopted by the board. We know that the directors all agreed to do so at their meeting and they instructed their in-house counsel to draft the agreement. Likely, there was such a resolution. We know they had a plan of conversion because they distributed it to shareholders. And we know that they received sufficient votes: 66% of the outstanding shares voted in favor, far over the 50% threshold required to appove the transaction. Therefore, they have satisfied their legal requirements to incorporate and there is no *ultra vires* theory to bring. And an LLC is allowed to waive fiduciary duties (LLC Act 18-1104), so the subsequent waiver is not impermissible.

Direct vs. Derivative Lawsuit

The suit will likely be viewed as direct. It seems that the corporation has already been reincorporated as an LLC, so the corporation does not remain. The shareholder's potential suit before the reincorporation, on a duty of loyalty theory, has thus been wiped out. Therefore, they are likely to have to bring a direct suit akin to in *Riverstone*. They may be able to argue that the duty of loyalty was owed to them directly and, because the duty of loyalty is no longer owed to the corporation, then the injury is independent of any injury to the new LLC because the LLC is not owed the duty of loyalty. This would satisfy the *Tooley* test to be a direct theory.

However, PP's suit may have to be derivative. If so, they will have more difficulty. First, they cannot bring a duty of loyalty theory as the LLC has waived that. Second, the plaintiff may have derivative standing to sue. Their shares were converted into membership units. It is not clear if that will invalidate their standing because they have not been a shareholder throughout the entire lawsuit: they were a shareholder, now they are a membership owner. That may not be sufficient to satisfy the ownership requirement of Rule 23.1. However, because their shares and membership units were identical other than the waiver of fiduciary duties, this is likely to remain. If their membership units are treated as ownership, then the question becomes demand futility.

PP's suit is unlikely to survive the *Zuckerberg* standard. This is assessed director-by-director, asking whether they were (1) personally interested in the transaction, (2) they face monetary liability or (3) if they are under the control of someone who is personally interested or faces monetary liability (*Zuckerberg*). Demand is only futile if a majority of the directors are deemed not independent and disinterested (*Zuckerberg*).

CEO is clearly interested because she is getting a non pro-rata benefit of the ability to take the company private should any issues arise.

VC1 and VC2 are more debatable but are likely independent. Neither is personally interested in the transaction. They may be in thrall to CEO because CEO made them a lot of money. However, just because the CEO made them a lot of money does not make them per se conflicted--for instance, Thiel was not conflicted in *Zuckerberg* despite being an investor in Facebook and getting significant dealflow from that factor. They would only invalidate *Zuckerberg* if they personally faced monetary liability. This turns on the theory sued under. As discussed below, PP has potential *Unocal* lawsuits where the directors may be held monetarily liable. They cannot bring a duty of loyalty derivative suit because the LLC is not owed the duty of loyalty.

O1 is likely independent. She was hired only in 2020 and did not know the CEO previously. Barring some additional indication that O1 was truly in thrall to CEO, she is likely independent. The fact that she is independently wealthy helps her: even if CEO is a controlling shareholder, her wealth implies she can freely walk away from the directorship which implies independence (*Zuckerberg*).

O2, O3 and O4 are also all likely independent. Like O1, they were all hired only at the time of the IPO and did not previously know the CEO. Although they do not clearly have large personal wealth to turn back on, they all have significant personal accomplishments such that they are likely independent. Barring evidence in any duty of loyalty case that they particularly acted to benefit CEO, such that there is a valid duty of loyalty theory, they are not conflicted.

Controlling Shareholder Lawsuit

The PP will want to allege CEO is a controlling shareholder. That is unclear. A shareholder is controlling if they own 50% or more of the voting power or they own less but display significant indicia of control (*MFW*). This is a sliding scale inquiry (*Tesla*). 32% ownership does not satisfy the numerical requirement, so PP must show significant additional indicia of control. PP can argue that in most votes, only roughly 70% of shares vote so 32% is almost a controlling stake on its own. However, this is likely to fail. The test asks for 50%, not just whether they can control an average vote. Regardless, this vote had 84% voter turn-out; it may be the Chirper's average voting percentages are far higher than the usual 70% because comparatively little of the stock is owned by retail given that 32% is owned by CEO alone.

It does not seem like PP is a controlling shareholder. Elon was conceivably a controlling shareholder at 22% ownership so CEO's 32% stake does not completely invalidate her as a controlling shareholder (*Tesla 1*). However, Elon demonstrated significant additional indicia of control: he was a superstar CEO; he was viewed as Tesla's visionary; the board admitted they needed Elon and Elon described Tesla as "my company." CEO is less clear: we do not know if she is a superstar CEO, we have no evidence she and the board view this as functionally "her company" and, although directors seem to favor her long-term plans,

she does not seem to be such a core visionary like Elon.

If CEO is found to be a controlling shareholder, then PP has a potentially strong duty of loyalty theory. The directors will be deemed per se conflicted in the transaction because it will be assumed that they acted on CEO's behalf. CEO has a clear reason to favor this transaction: she is on record as desiring to take the company private to ensure that Chirper never charges its citizen journalists a fee to use the platform. This does not seem like a tunneling theory for which entire fairness would apply, but her plan to ultimately take control of the company through a take-private means such a later transaction would likely be subject to entire fairness review. Regardless, even absent a tunneling theory, her plan may be a sufficient conflict of interest to justify entire fairness just as occurred in *Tesla 2* where Elon's interest in saving his cousins and his own reputation justified entire fairness review in the controlling shareholder context.

The board has not cleansed a controlling shareholder transaction. To cleanse a controlling shareholder transaction, the deal must be conditioned *ex ante* on approval by an independent committee empowered to say no and a majority of unaffilitated, fully informed and uncoerced shareholders (*MFW*). There was no independent committee present, so the transaction was not cleansed under *MFW*. Therefore, the standard of review would remain entire fairness.

The deal would likely fail entire fairness review. Entire fairness asks whether the deal had a fair process and a fair price (*Bayer*). Fair price matters more (*Trados*). There seems to have been relatively little process: they never hired advisors, they only met once for a couple of hours and they never created an independent committee. All suggest the process may not have been fair. Price is worse: the shareholders completely waived their fiduciary duty of loyalty, one of their main mechanisms to discipline management given that CEO owns such a large percentage of the equity, in exchange for 0 compensation. A court is unlikely to find that is a fair price for such a grave waiver. Analogous inquiries in a settlement context would fail, as courts only approve settlements with a waiver of liability where the shareholders got something of significant value in return (*Trulia*). The shareholders do not seem to have gotten anything of value here.

Duty of Loyalty Lawsuit

Even if PP cannot show that CEO is a controlling shareholder, she can continue with a duty of loyalty suit regardless. The theory would be that the directors made the decision to reincorporate because they wanted to support CEO's vision of the company without the concern of potential activist campaigns in the future. PP will argue that the standard of review should be entire fairness because it is a duty of loyalty theory and CEO is interested in the transaction because she stands to retain control and facilitate a future MBO without any concern of a lawsuit for violation of her fiduciary duties.

However, the transaction has likely been cleansed. If CEO is not a controlling shareholder, then a transaction involving the entire board can be cleansed due to shareholder ratification. This can be done in

two ways, either through (1) conditioning the transaction on approval by a majority of independent directors or (2) conditioning the transaction on approval by a majority of disinterested, fully informed and uncoerced shareholders (*Investor Bancorp*). PP would struggle to refute either prong. To refute the first, they would have to show that of the 7 member board, at least 4 are not independent and disinterested. 4/7 are outside directors and the two VCs may not be interested either. However, even if they could show that the board was majority conflicted in this transaction, the transaction would still not be reviewed for entire fairness because the transaction was conditioned on approval by a majority of disinterested, fully informed and uncoerced shareholders. Owling explicitly stated that they would condition the deal on approval by such shareholders and the board released a plan of conversion and explained the importance of the duty of loyalty in their proxy materials to ensure shareholders were truly fully informed.

However, cleansing could fail. *Investor Bancorp*'s cleansing standard does not have an *ab initio* requirement like that of *MFW* and *Corwin*. Therefore, the fact that Owling only conditioned the deal on approval after the directors decided to go forward likely succeeds under *Investor Bancorp.* However, the court may view this transaction with more scrutiny given the long-term consequences of the transaction resulting in a waiver of the duty of loyalty. To do this in a corporation is rare and the shareholders here would surely fail. Under *Rich*, courts only allow such waivers where there are several of the *Manti* factors present and the shareholders are sophisticated. The majority of disinterested, uncoerced and fully informed shareholders are retail so they would not satisfy this. Therefore, even though a corporation can reincorporate, the court may view the substance of this transaction as more problematic and look for both cleansing features in *MFW*; namely, ab initio conditioning on approval by an independent committee and an approval by a majority of the disinterested, fully-informed and uncoerced shareholders. The lack of an independent committee would thus mean that the transaction was not cleansed.

If the transaction was not cleansed, PP will likely win their case. This becomes the entire fairness review discussed above. The process does not look clearly fair and more important the price is not: they shareholders did not get anything of clear substance in exchange for waiving their duty of loyalty.

If the transaction was cleansed, PP will lose. BJR is incredibly hard to win under. It is only violated where shareholders act with extremely gross negligence (*Van Gorkom*). Although their process was not ideal because they never hired advisors, it does not appear as grossly negligent as in *Van Gorkom*; for one, the directors seem to have thought about the potential for liability and have conditioned the transaction on many potenital cleansing mechanisms.

Revlon Lawsuit

PP may arguably have a *Revlon* lawsuit. Although the facts do not fit the normal pattern, *Revlon* is triggered when a directorial action cashes out shareholders (*Paramount*). Exchanging their shares into membership units may count as cashing out in order to trigger *Revlon.* This is a weak theory because the shareholders retain membership units and thus do not lack ownership in the new entity so in some sense

they were not clearly "cashed out." Such an argument failed in *Paramount* itself where shareholders of Time were given shares of the merged Time-Warner, even though their shares entitled them to a minority of the combined entity.

If a *Revlon* lawsuit were to continue, the court would likely determine that the price wasn't maximized. As discussed above, the shareholders do not get any clear direct compensation through the waiver of their duty of loyalty. That is something of value for which the directors did not obtain compensation. Such a failure to monetize an asset in the "price" fails a *Revlon* review ex post (*Riverstone*). The directors did not cleanse this down to BJR under *MFW* because there was no independent committee approval. They may have cleansed it under *Corwin* as the board was likely mostly independent. However, the aforementioned concerns remain.

Unocal Lawsuit

PP has a stronger theory in a *Unocal* lawsuit. The decision to reincorporate as an LLC was largely a defensive one: by doing so, they enabled the CEO to pursue an MBO in the future which would not be subject to a duty of loyalty challenge. The justification sounded in preventing future activism, which Chirper's directors knew was a risk given the statements made by AA.

Whether the directors had a valid threat to respond to turns on whether the suit is about a general defensive measure or activism. Unocal asks whether the directors are responding to a valid threat to corporate policy and, if so, whether their defensive action is proportionate to the threat (*Unocal*). This applies in both general defensive actions and in vote interference cases (*Coster*). Courts are more skeptical in vote interference cases (*Coster*). The board's stated justification was to let the CEO focus on long-term value without the risk of investors challenging their decision making. At its core, this justification is that the directors know best about the long-term operation of the corporation. This is permissible in an ordinary defensive measure lawsuit but not in a voting context (*Williams*). The directors can argue, though, that they do have a valid justification for either: that they want to ensure that Chirper does not charge its citizen journalists to use the platform. This is at its core a justification on the grounds of protecting a key feature of the business model. Such limited non-shareholder interests are permissible in tender offer cases (*Paramount*) and may be permissible in voting cases too. (*Paramount*, at its core, was a voting case, although the rest of the more skeptical voting doctrine has arisen after that case.) However, regardless of how it is classified, PP can argue that the core justification is entrenchment, as evidenced by the director's statement that they do not want to "have to look over shoulders at investors who didn't understand what they were building." That explicitly sounds like entrenchment: they do not want to have to look over their shoulders and fear being replaced if shareholders do not like their vision. How much deference the court will give to the director's justifications are unclear.

There are valid grounds to argue the defensive action is being done to prevent a takeover. AA stated that, given the failures at Chirper, the directors would need to start thinking about selling to someone who could

execute on a better vision. This can be interpreted as the threat of a future hostile tender offer. The directors can allege they were responding to this threat, not the potential for activism, and therefore they should only be reviewed under *Unocal*, not *Unocal* with a gimlet eye. Even their statement that they do not want to "have to look over shoulders at investors who didn't understand what they were building" may comport with the fear of a tender offer: if shareholders did not like what they were doing, an acquirer may make a hostile tender offer to change management's direction.

However, it seems more likely that the action was intended to interfere with future votes. Even though the need not to look over their shoulders may relate to a tender offer, it relates more closely to a proxy campaign being waged by an activist to replace the directors.

Regardless of how the matter is classified, even if the court views the justification as valid, the response is likely to fail *Unocal*. The second prong asks whether the response was proportionate and is neither coercive nor preclusive (*Omnicare*). In some sense it is preclusive as it completely denies shareholders the future right to bring a duty of loyalty suit. However, that does not fit neatly into the *Unocal* preclusive framework. Regardless, reincorporating and waiving the shareholder's fiduciary duties is not a reasonable response to a concern about protecting citizen journalists' ability to freely chirp. Even though it is legally permissible to do so, the directors could pursue a less radical action such as modifying their charter to enshrine this right or reincorporating, keeping the duty of loyalty and writing into the operating agreement that the corporation will not charge per chirp would also be far less extreme. The choice to waive the duty of loyalty implies a potential bad faith motivation and therefore, while it may be legally permissible, it is likely not proportionate to the threat the directors claim to be responding to.

Duty of Care Theory

If PP cannot succeed on any other theory, PP may also allege that reincorporating was not in the best interests of the corporation and the directors did so with gross negligence. They decided to reincorporate after only a two-hour meeting and without any evidence that they clearly discussed the merits of an LLC vs. remaining as a corporation. They did not have any independent counsel. Although duty of care is entitled to BJR, it can still be violated where the directors act with gross negligence (*Van Gorkom*).

This lawsuit is likely to fail. The decision to reincorporate is the type of management decision that directors should be given deference for. There are many reasons to favor an LLC, including the ability to set far more flexible governance provisions which the directors may believe, in good faith, will maximize long-term value. As discussed above, although their process was not ideal, it does not seem so grossly negligent to justify a violation of BJR.

Further, the lawsuit would only be able to get an injunction not damages. Chirper likely has a 102(b)(7) exculpation. LLCs likely have the ability to include such a provision as well. Therefore, PP would not be able to get damages. Therefore, depending on what relief PP wants, such a suit may not only be seriously

unlikely to win but an outright waste of time.

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

Both doctrines reflect a retrenchment from a court decision in Delaware which caused an outroar. DGCL 102(b)(7) exculpates directors from monetary liability for a violation of the duty of care. This arose after monetary liability was assigned to directors due to their gross negligence in *Van Gorkom*. Many complained the decision was terrible and the consequences dire: by holding directors monetarily liable for "gross negligence," even where they managed to get a 60% premium for shareholders, the court was dissuading future directors from taking directorships. DGCL 122(18) allows the corporation to enter contracts with shareholders to bind the director's powers. This was implemented in response to a contrary opinion in *Moelis*. This too caused an uproar.

Because both cases are retrenchments from caselaw, they reflect a clear division of power between the legislature and the courts. The legislature has mostly set expansive rules for Delaware through a mostly permissive DGCL which just sets the outer bounds of a corporation's legal authority. The legislature then leaves the courts to fill the gaps. This gives extreme deference to the courts where there is not some explicit conflict with a policy held by the legislature or such a great outcry that they risk losing their status as the hub of American corporate law. However, when courts go too far and cause an outroar, only then does the legislature intervene to quell the unease. Beyond both responding to frustration, they both cement a core goal of keeping the stock corporation alive in Delaware. If directors will not serve on boards, then the stock corporation will fail in Delaware beacuse corporations are organized around directorial supremacy (DGCL 141(a)). Therefore, 102(b)(7) was implemented. If directors and shareholders do not have the freedom to contract to set their governance provisions, then founders will just create LLCs and directors will reincorporate as an LLC in order to capitalize on the LLC's flexible governance. Therefore, 122(18) was implemented to provide competing flexibility.

Both reflect the trend towards expanding corporate powers. Delaware law has, over time, generally broadened. The move from special charters with narrow powers to general charters with expansive powers exactly encapsulates this trend. The creation of certain intermediate doctrines, like *Revlon* and *Unocal* in response to issues of the time buck the trend by narrowing the corporate law. However, they too have been

subsequently expanded (via *Corwin* and *MFW* for *Revlon* and *Airgas* for *Unocal*). Allowing directors to exercise their powers without the fear of monetary liability under 102(b)(7) has expanded the effective action space for directors. Directors will not pursue actions where they risk personal monetary liability. Similarly, allowing directors to contract with shareholders to limit their power under 122(18) has expanded the powers granted to the board: before such contracts were impermissible (at least under *Moelis*); now they are permissible.

For the same reasons, both decisions embrace deference to directors. 122(18) give deference to their decision on whether and how to limit their powers to the interests of shareholders. 102(b)(7) gives deference to their general decisionmaking by eliminating liability.

Both laws also deal with the tension between empowering directors and empowering shareholders. 122(18), in a sense, does both: it empowers directors to contract with shareholders to waive their powers in a way that they see fit, and it empowers shareholders to establish a governance system that they believe best fits their desired form of corporate governance. However, by allowing these contracts with a controlling shareholder, it also allows the directors to prioritize a particular shareholder and exercise their deference to benefit that one shareholder at the potential cost of others. 102(b)(7), on the contrary, primarily just empowers directors. By waiving monetary liability, it empowers directors to make risky decisions in the management of the business that they believe serve a long-term interest that shareholders may not recognize or support in the immediate term. By waiving monetary liability, they have empowered directors at the shareholders direct expense. However, also like 122(18), in a sense this may benefit shareholders. The shareholders appointed the directors because they believe in them and their long term vision. Empowering them to pursue such a vision may ultimate benefit shareholders as a whole.

This similarly reflects an alignment between interests of shareholders and directors. 122(18) allows shareholders to align directors by contract. 102(b)(7) facially causes more disalignment by limiting shareholders ability to discipline directors. However, it aligns directors with what shareholders want: for the the directors to freely manage the business to maximize long-term value. It is only through said long-term maximization that shareholders, as the residual claimants, get paid.

Both rules spelled the end of a means of disciplining management. 102(b)(7) killed duty of care suits as monetary damages were no longer on the table. Although it is too early to tell, 122(18) likely eliminated any last legs *ultra vires* could stand on. *Moelis* was an *ultra vires* case because the court thought that the DGCL did not to allow such flexible governance schemes. *Ultra vires* is virtually never used anymore so *Moelis* was an exception. However, such governance documents were somewhat common with corporations. Had *Moelis* stood, there was a potential revival of *ultra vires*. By quickly overturning *Moelis* with 122(18), the legislature killed *ultra vires* for a second time.

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_

Oracle and *Zuckerberg* both confront the question of what it means for a director to be independent and disinterested. They confront the issue in two different situations and take two different views. *Oracle* says that in determining whether a director is independent and disinterested for purposes of being appointed to an SLC, they cannot have any economic *or social* ties to the board (*Oracle*). *Zuckerberg* says that for assessing demand futility, the procedure is systematic: it goes director-by-director and focuses on more objective criteria. A director is not independent and disinterested if they are (1) directly interested in the transaction, (2) face monetary liability in the lawsuit or (3) are in thrall to someone who is interested or faces monetary liability.

Both cases deal with comparable companies. *Oracle* dealt with the independence of directors at Oracle, a titan of industry in Silicon Valley. Similarly, *Zuckerberg* dealt with the independence of directors at Facebook, similarly a titan of industry. Both had rich, well-known CEOs in Ellison and Zuckerberg. In both cases, the well-known CEO sat on the board and exercised significant control over its vision. Both had significant ownership: Ellison owned 25% and Zuckerberg, despite owning a far smaller amount, held majority voting power due to its dual-class share structure.

Zuckerberg postdates *Oracle* and may serve as a retrenchment from *Oracle*'s overly broad understanding of whether a director is independent or disinterested. *Oracle* was decided in 2003, *Zuckerberg* was decided in 2021. Although it is unclear if *Zuckerberg* replaces *Oracle*, the core question of whether a director is sufficiently independent and disinterested to make a judgment call on whether to pursue a case is identical. If *Zuckerberg* does replace *Oracle*, then it falls as part of a long line of cases where the court has retrenched from a doctrine that became unworkable: *Revlon* to its retrenchment in *Corwin* and *MFW*, *Schnell* and *Blasius* to *Unocal* with a gimlet eye. Allowing social ties to invalidate independence would make it far too hard to determine whether a director will be deemed independent or not *ex ante*. Things are even worse in a case where, like both *Oracle* and *Zuckerberg*, the controlling shareholder CEO is a rich, well-known tech billionaire. For *Oracle* to remain seems to make it impossible for any tech company in Silicon Valley to ever create a proper SLC because any original director will have social ties to the founder and any newly-appointed director may feel too much social pressure to challenge a rich and famous CEO and thus run the risk of being ostracized.

Courts have also become increasingly more objective over time. *Oracle* to *Zuckerberg* is a move from an unclear standard that is hard to predict ex ante to a (still not easy to predict) but far more objective standard. The same train of logic was applied in moving from *Blasius* to *Unocal* with a gimlet eye.

However, to the extent that *Zuckerberg* does not replace *Oracle*, it creates a facially bizarre tension in how courts view independence. Zuckerberg, with its methodical method of assessing independence, sets in a broader definition of what it means to be independent; for one, merely having social ties to another director does not count. Nor do some prior economic ties as evidenced by the independence of directors such as Thiel who made an incredible amount of money off of their investment in Facebook. Oracle sets a much narrower definition of what it means to be independent as courts look at all factors, including social ties, to determine whether a director is truly capable of acting against the will of others in their social circle. Not rationalizing these is strange. Both focus on the same core inquiry, whether a director is independent, so to have two separate standards is bizarre, especially given both arise in the same context of determining a director's ability to judge other directors fairly. Making both inquiries identical would clarify the doctrine dramatically. There is no clear reason to think that a higher standard should apply to directors once they are on the SLC versus when determining whether a board is independent enough to come up with an SLC in the first place. They either are or are not independent enough to make that decision. If a demand goes to the board, they have to make an SLC to decide whether to dismiss. Any concern that there should be a heightened standard on the directors actually on the SLC is addressed through the (equally bizarre) prong (2) of the *Zapata* standard, where an SLC's decision to dismiss a case is only granted where the court determines in their own business judgment that the case should be dismissed.